August 9, 2024

Consolidated Financial Results for the Three Months Ended June 30, 2024 (Under Japanese GAAP)

Company name: Mizuno Corporation
Listing: Tokyo Stock Exchange
Securities code: 8022
URL: https://corp.mizuno.com/en
Representative: Akito Mizuno, President and Representative Director
Inquiries: Yoshihiro Murakami, Executive Officer in charge of Global Accounting and Finance
Telephone: +81-6-6614-8465
Scheduled date to commence dividend payments: –
Preparation of supplementary material on quarterly financial results: Yes
Holding of financial results briefing: None

(Yen amounts are rounded down to millions, unless otherwise noted.)

1. Consolidated financial results for the three months ended June 30, 2024 (from April 1, 2024 to June 30, 2024)

(1) Consolidated operating results (cumulative)

(Percentages indicate year-on-year changes.)

	Net sales		Operating profit		Ordinary profit		Profit attributable to owners of parent	
Three months ended	Millions of yen	%	Millions of yen	%	Millions of yen	%	Millions of yen	%
June 30, 2024	60,783	6.3	6,498	21.6	7,398	16.9	5,135	10.0
June 30, 2023	57,176	23.8	5,344	40.8	6,328	39.8	4,670	33.2

Note: Comprehensive income
For the three months ended June 30, 2024: 8,067 million yen [19.8%]
For the three months ended June 30, 2023: 6,734 million yen [17.9%]

	Earnings per share	Diluted earnings per share
Three months ended	Yen	Yen
June 30, 2024	200.85	–
June 30, 2023	182.72	–

(2) Consolidated financial position

	Total assets	Net assets	Capital adequacy ratio
As of	Millions of yen	Millions of yen	%
June 30, 2024	205,484	148,101	71.7
March 31, 2024	206,151	142,065	68.6

Reference: Equity
As of June 30, 2024: 147,365 million yen
As of March 31, 2024: 141,454 million yen

2. Cash dividends

	Annual dividends per share				
	First quarter-end	Second quarter-end	Third quarter-end	Fiscal year-end	Total
	Yen	Yen	Yen	Yen	Yen
Fiscal year ended March 31, 2024	–	35.00	–	85.00	120.00
Fiscal year ending March 31, 2025	–				
Fiscal year ending March 31, 2025 (Forecast)		60.00	–	60.00	120.00

Note: Revisions to the forecast of cash dividends most recently announced: None

3. Consolidated financial result forecasts for the fiscal year ending March 31, 2025 (from April 1, 2024 to March 31, 2025)

(Percentages indicate year-on-year changes.)

	Net sales		Operating profit		Ordinary profit		Profit attributable to owners of parent		Earnings per share
	Millions of yen	%	Millions of yen	%	Millions of yen	%	Millions of yen	%	Yen
Full year	250,000	8.8	19,000	10.0	20,500	6.3	15,000	4.8	586.64

Note: Revisions to the financial result forecast most recently announced: None

* **Notes**

(1) Significant changes in the scope of consolidation during the period: Yes

Newly included: 2 companies (MIZUNO APAC (THAILAND) LTD., MIZUNO SIAM HOLDINGS LTD.)
Excluded: –

(2) Adoption of accounting treatment specific to the preparation of quarterly consolidated financial statements: Yes

Note: For details, please refer to "2. Quarterly Consolidated Financial Statements and Principal Notes, (3) Notes to Quarterly Consolidated Financial Statements, (Adoption of accounting treatment specific to the preparation of quarterly consolidated financial statements)" on page 8 of the attachments.

(3) Changes in accounting policies, changes in accounting estimates, and restatement

(i) Changes in accounting policies due to revisions to accounting standards and other regulations: Yes

(ii) Changes in accounting policies due to other reasons: None

(iii) Changes in accounting estimates: None

(iv) Restatement: None

(4) Number of issued shares (common shares)

(i) Total number of issued shares at the end of the period (including treasury shares)

As of June 30, 2024	26,578,243 shares
As of March 31, 2024	26,578,243 shares

(ii) Number of treasury shares at the end of the period

As of June 30, 2024	1,007,766 shares
As of March 31, 2024	1,007,101 shares

(iii) Average number of shares outstanding during the period (cumulative from the beginning of the fiscal year)

Three months ended June 30, 2024	25,570,771 shares
Three months ended June 30, 2023	25,563,194 shares

* Review of the Japanese-language originals of the attached consolidated quarterly financial statements by certified public accountants or an audit firm: None

* Proper use of earnings forecasts and other special matters

The earnings forecasts and other forward-looking statements herein are based on information currently available to the Company and certain assumptions that the Company deems reasonable. Actual results may differ significantly from these forecasts due to a wide range of factors.

Table of Contents - Attachments

1. Overview of Operating Results and Financial Position

(1) Overview of Operating Results for the Period

During the period under review, the Japanese economy maintained a gradual recovery trend. This was primarily thanks to improved employment and income conditions due to further wage increases and the effect of various policies including flat-amount cut of personal income tax, and the Nikkei Stock Average remaining at high levels. However, the economy witnessed the volatility of the financial market, higher prices, and others, and therefore, there are concerns lingered regarding the sluggish growth of corporate earnings and personal consumption. While overseas economies have also continued to recover, there are concerns about the slowdown of consumption owing to continuing high interest rates and increases in prices, as well as the impacts of growing instability in the global situation on financial markets and distribution networks.

Amid the excitement over the global sport events, the sport market has expected growing opportunities for a wide range of sports. Meanwhile, the expansion of the sport market for outdoor personal sports such as golf, which continued to expand since the COVID-19 pandemic, has been steady.

Under such circumstances, the Group’s sales in Japan remained robust in competitive sports products including football, volleyball, and racket sports, and sales of the work business remained strong. Overseas sales also continued to grow in products for competitive sports such as football and lifestyle shoes.

As a result of these factors, net sales were 60,783 million yen, up 3,606 million yen (up 6.3% yoy), operating profit was 6,498 million yen, up 1,153 million yen (up 21.6% yoy), ordinary profit was 7,398 million yen, up 1,069 million yen (up 16.9% yoy), and profit attributable to owners of parent was 5,135 million yen, up 464 million yen (up 10.0% yoy), all of which were record highs.

Performances of each business segment are as follows.

a Japan

In Japan, sales of products for competitive sports, such as football, volleyball, and racket sports, remained strong. In addition, the work business, which is our non-sports businesses, remained solid. Sales of lifestyle shoes, which are the focus of our business expansion efforts in this region, increased as well.

As a result, the Group recorded net sales of 34,797 million yen, up 2,247 million yen (up 6.9% yoy), and operating profit of 3,131 million yen, up 607 million yen (up 24.1% yoy).

b Europe

In Europe, the football business and lifestyle shoes business, which are the focus of our business expansion efforts in this region, enjoyed growth. Additionally, sales of products for competitive sports, such as volleyball, also increased. Gross profit margin of running shoes, which is one of our main products, improved reflecting our efforts to improve the margin.

As a result, although net sales decreased by 133 million yen (down 2.0% yoy) to 6,473 million yen, operating profit increased by 81 million yen (up 41.9% yoy) to 275 million yen.

The exchange rates for each currency in Europe during the period under review are as follows:

Pound Sterling: 197.80 yen (172.46 yen in the same period of the previous fiscal year); Euro (branches): 168.36 yen (150.35 yen in the same period of the previous fiscal year); Euro (subsidiaries): 160.89 yen (143.34 yen in the same period of the previous fiscal year); Norwegian Krone: 14.05 yen (13.14 yen in the same period of the previous fiscal year) c Americas

In the Americas, sales increased especially in the products for competitive sports in spite of downward pressures on business activities such as continuing high interest rates and advancing inflation. Gross profit margin improved thanks to progress in optimizing inventory levels.

As a result, net sales were 11,293 million yen, up 846 million yen (up 8.1% yoy), and operating profit was 1,738 million yen, up 146 million yen (up 9.2% yoy).

The exchange rates for each currency in the Americas during the period under review are as follows:

U.S. Dollar: 147.86 yen (133.26 yen in the same period of the previous fiscal year); Canadian Dollar: 110.01 yen (98.62 yen in the same period of the previous fiscal year)

d Asia and Oceania

In Asia and Oceania, the football business, which is the focus of our business expansion efforts in this region, experienced growth in South Korea and Southeast Asia. Furthermore, sales of products for competitive sports, such as racket sports and volleyball, also increased. Sales of lifestyle shoes grew as well, even though the increase was relatively modest.

As a result, net sales were 8,217 million yen, up 646 million yen (up 8.5% yoy), and operating profit was 1,379 million yen, up 297 million yen (up 27.5% yoy).

The exchange rates for each currency in Asia and Oceania during the period under review are as follows:

New Taiwan Dollar: 4.71 yen (4.38 yen in the same period of the previous fiscal year); Hong Kong Dollar: 18.90 yen (17.02 yen in the same period of the previous fiscal year); Chinese Yuan: 20.55 yen (19.33 yen in the same period of the previous fiscal year); Australian Dollar: 97.61 yen (90.79 yen in the same period of the previous fiscal year); Korean Won (per 100 won): 11.15 yen (10.44 yen in the same period of the previous fiscal year); U.S. Dollar (Singapore): 147.86 yen (133.26 yen in the same period of the previous fiscal year)

(2) Overview of Financial Position for the Period

Total assets at the end of the period under review decreased by 666 million yen from the end of the previous fiscal year to 205,484 million yen. This was primarily due to decreases of merchandise and finished goods by 2,642 million yen and accounts receivable - trade by 2,463 million yen, while cash and deposits increased by 2,248 million yen and investment securities increased by 666 million yen.

Liabilities at the end of the period under review decreased by 6,702 million yen from the end of the previous fiscal year to 57,383 million yen. This was primarily due to decreases of notes and accounts payable - trade by 2,241 million yen and accounts payable - other, and accrued expenses by 1,880 million yen.

Net assets increased by 6,035 million yen from the end of the previous fiscal year to 148,101 million yen.

As a result of the above, the equity ratio increased by 3.1 percentage points from 68.6% at the end of the previous fiscal year to 71.7%.

(3) Explanation of Consolidated Financial Results Forecast and Other Forward-looking Statements

The consolidated financial results forecast for the fiscal year ending March 31, 2025 has not changed from the financial results forecast announced on May 10, 2024.

2. Quarterly Consolidated Financial Statements and Principal Notes

(1) Quarterly Consolidated Balance Sheets

(Millions of yen)

	As of March 31, 2024	As of June 30, 2024
Assets		
Current assets		
Cash and deposits	31,963	34,212
Notes receivable - trade	4,814	5,413
Accounts receivable - trade	43,996	41,532
Merchandise and finished goods	45,117	42,474
Work in process	749	843
Raw materials and supplies	6,577	6,590
Other	6,122	6,988
Allowance for doubtful accounts	(679)	(708)
Total current assets	138,662	137,347
Non-current assets		
Property, plant and equipment		
Buildings and structures, net	17,685	17,539
Land	14,187	14,199
Other, net	5,293	5,381
Total property, plant and equipment	37,167	37,119
Intangible assets		
Goodwill	979	971
Other	5,469	5,473
Total intangible assets	6,449	6,445
Investments and other assets		
Investment securities	9,487	10,153
Deferred tax assets	1,671	1,806
Retirement benefit asset	10,270	10,413
Other	3,075	2,796
Allowance for doubtful accounts	(632)	(598)
Total investments and other assets	23,872	24,572
Total non-current assets	67,489	68,137
Total assets	206,151	205,484

	As of March 31, 2024	As of June 30, 2024
Liabilities		
Current liabilities		
Notes and accounts payable - trade	20,942	18,700
Short-term borrowings	750	1,622
Current portion of long-term borrowings	328	1,328
Accounts payable - other, and accrued expenses	15,137	13,257
Income taxes payable	3,704	2,567
Other	3,621	1,228
Total current liabilities	44,485	38,704
Non-current liabilities		
Long-term borrowings	11,586	10,322
Deferred tax liabilities	2,116	2,530
Deferred tax liabilities for land revaluation	1,807	1,807
Retirement benefit liability	249	208
Asset retirement obligations	338	339
Other	3,501	3,469
Total non-current liabilities	19,599	18,678
Total liabilities	64,085	57,383
Net assets		
Shareholders' equity		
Share capital	26,137	26,137
Capital surplus	31,854	31,854
Retained earnings	71,447	74,527
Treasury shares	(1,864)	(1,869)
Total shareholders' equity	127,574	130,650
Accumulated other comprehensive income		
Valuation difference on available-for-sale securities	3,598	4,042
Deferred gains or losses on hedges	291	607
Revaluation reserve for land	(319)	(319)
Foreign currency translation adjustment	8,088	10,218
Remeasurements of defined benefit plans	2,220	2,166
Total accumulated other comprehensive income	13,879	16,715
Non-controlling interests	611	735
Total net assets	142,065	148,101
Total liabilities and net assets	206,151	205,484

(2) Quarterly Consolidated Statements of Income and Comprehensive Income

Quarterly Consolidated Statement of Income

Three Months Ended June 30

(Millions of yen)

	For the three months ended June 30, 2023	For the three months ended June 30, 2024
Net sales	57,176	60,783
Cost of sales	34,280	35,557
Gross profit	22,896	25,225
Selling, general and administrative expenses	17,551	18,726
Operating profit	5,344	6,498
Non-operating income		
Interest income	50	49
Dividend income	141	134
Foreign exchange gains	895	715
Other	65	79
Total non-operating income	1,152	979
Non-operating expenses		
Interest expenses	125	39
Commission expenses	3	9
Other	40	30
Total non-operating expenses	168	79
Ordinary profit	6,328	7,398
Extraordinary income		
Gain on sale of non-current assets	466	13
Gain on sale of investment securities	53	–
Total extraordinary income	520	13
Extraordinary losses		
Loss on retirement of non-current assets	34	3
Loss on sale of investment securities	0	–
Total extraordinary losses	34	3
Profit before income taxes	6,814	7,409
Income taxes	2,107	2,195
Profit	4,707	5,214
Profit attributable to non-controlling interests	36	78
Profit attributable to owners of parent	4,670	5,135

Quarterly Consolidated Statement of Comprehensive Income

Three Months Ended June 30

(Millions of yen)

	For the three months ended June 30, 2023	For the three months ended June 30, 2024
Profit	4,707	5,214
Other comprehensive income		
Valuation difference on available-for-sale securities	316	443
Deferred gains or losses on hedges	1,236	315
Revaluation reserve for land	307	–
Foreign currency translation adjustment	213	2,147
Remeasurements of defined benefit plans, net of tax	(46)	(54)
Total other comprehensive income	2,027	2,852
Comprehensive income	6,734	8,067
Comprehensive income attributable to		
Comprehensive income attributable to owners of parent	6,689	7,971
Comprehensive income attributable to non-controlling interests	45	95

(3) Notes to Quarterly Consolidated Financial Statements

(Changes in accounting policies)

(Application of "Accounting Standard for Current Income Taxes" etc.)

The "Accounting Standard for Current Income Taxes" (Accounting Standards Board of Japan ("ASBJ") Statement No. 27, October 28, 2022; hereinafter referred to as the "Revised Accounting Standard 2022"), etc. have been applied from the beginning of the three months ended June 30, 2024.

The amendment to categories in which current income taxes should be recorded (taxes on other comprehensive income) follows the transitional treatment prescribed in the proviso of paragraph 20-3 of the Revised Accounting Standard 2022 and the transitional treatment prescribed in the proviso of paragraph 65-2 (2) of the Guidance on Accounting Standard for Tax Effect Accounting (ASBJ Guidance No. 28, October 28, 2022; hereinafter referred to as the "Revised Guidance 2022"). This change in accounting policies has no impact on the quarterly consolidated financial statements.

For the amendment related to the revised accounting treatment for consolidated financial statements when gains or losses on the sale of shares in subsidiaries resulting from transactions between consolidated companies were deferred for tax purposes, the Revised Guidance 2022 has been adopted from the beginning of the three months ended June 30, 2024. This revision in the accounting policies was applied retrospectively. Also, the quarterly consolidated financial statements for the same quarter of the prior fiscal year and the consolidated financial statements for the prior fiscal year have been modified retrospectively. This revision in accounting policies has no impact on the quarterly consolidated financial statements for the same quarter of the prior fiscal year and the consolidated financial statements for the prior fiscal year.

(Adoption of accounting treatment specific to the preparation of quarterly consolidated financial statements)

Calculation of tax expenses

Tax expenses were calculated by multiplying profit before income taxes for the period under review by a reasonably estimated effective tax rate for profit before income taxes for the fiscal year ending March 31, 2025, including the three months ended June 30, 2024, after the application of tax effect accounting.

(Notes on segment information, etc.)

I. For the three months ended June 30, 2023 (from April 1, 2023 to June 30, 2023)

1. Information on net sales and profit (loss) for each reportable segment

(Millions of yen)

	Reportable segment				
	Japan	Europe	The Americas	Asia and Oceania	Total
Net sales					
Net sales from external customers	32,550	6,607	10,447	7,571	57,176
Inter-segment internal net sales and transfers	1,938	–	14	1,139	3,091
Total	34,488	6,607	10,461	8,710	60,268
Segment profit	2,523	194	1,592	1,082	5,392

2. Difference between total reportable segment profit (loss) and the amount recorded in the quarterly consolidated statement of income, and major details of this difference (matters related to adjustments of difference)

(Millions of yen)

Profit	Amount
Total reportable segment profit	5,392
Inter-segment transaction eliminations and other adjustments	(47)
Operating profit recorded in the quarterly consolidated statement of income	5,344

II. For the three months ended June 30, 2024 (from April 1, 2024 to June 30, 2024)

1. Information on net sales and profit (loss) for each reportable segment

(Millions of yen)

	Reportable segment				
	Japan	Europe	The Americas	Asia and Oceania	Total
Net sales					
Net sales from external customers	34,797	6,473	11,293	8,217	60,783
Inter-segment internal net sales and transfers	1,559	–	9	985	2,554
Total	36,357	6,473	11,303	9,202	63,337
Segment profit	3,131	275	1,738	1,379	6,524

2. Difference between total reportable segment profit (loss) and the amount recorded in the quarterly consolidated statement of income, and major details of this difference (matters related to adjustments of difference)

(Millions of yen)

Profit	Amount
Total reportable segment profit	6,524
Inter-segment transaction eliminations and other adjustments	(26)
Operating profit recorded in the quarterly consolidated statement of income	6,498

(Notes in case of significant changes in shareholders' equity)

Not applicable.

(Notes on going concern assumption)

Not applicable.

(Notes to consolidated statement of cash flows)

The quarterly consolidated statement of cash flows for the three months ended June 30, 2024, are not prepared. The amount of depreciation (including amortization of intangible assets other than goodwill) and amortization of goodwill for the three months ended June 30, 2023 and June 30, 2024 are as follows:

(Millions of yen)

	For the three months ended June 30, 2023 (from April 1, 2023 to June 30, 2023)	For the three months ended June 30, 2024 (from April 1, 2024 to June 30, 2024)
Depreciation	664	679
Amortization of goodwill	24	26